

assessments. The SUNSET final rule RIA assumes that 11% of these assessments, or 396, are for regulations previously determined to have a significant economic impact on a substantial number of small entities, but reduces this figure to 370 to account for rulemakings that are likely to be reviewed for reasons other than the SUNSET final rule. This adjustment similarly reduces the estimate of the number of rulemakings impacted by the SUNSET final rule to 3,574 [=3600 – (396–370)].

For each of these 370 rulemakings, the Department will need to perform a review, which includes a retrospective regulatory flexibility analysis. The SUNSET final rule RIA distinguishes between the 44 rulemakings that predate the RFA and are unlikely to have an existing prospective regulatory flexibility analysis, and the remaining 326 rulemakings that are assumed to have an existing prospective analysis.

The SUNSET final rule RIA also estimates there will be an additional 160 rulemakings assessed to have a significant impact on a substantial number of small entities that have not previously been identified as having a significant economic impact. The Department will need to perform a review of these rulemakings under the SUNSET final rule.

The SUNSET final rule provides for an initial five-year period for the Department to address regulations older than ten years. We maintain the assumption in the SUNSET final rule RIA that assessments and reviews required in the first five years will be completed evenly across this time period, and that the remaining assessments and reviews will be completed evenly across the next five-year time period. Of the 3,574 total assessments anticipated under the SUNSET final rule, 3,415 would occur during the first five-year period, an

average of 683.0 assessments per year; while 159 assessments would occur during the second five-year period, an average of 31.8 assessments per year. Of the total reviews anticipated under the SUNSET final rule, 506 would occur during the first five-year period, an average of 101.2 reviews per year; while 24 assessments would occur during the second five-year period, an average of 4.8 reviews per year. Table D1 presents yearly counts of assessments and reviews anticipated under the baseline scenario. These figures are broadly consistent with the figures contained in the SUNSET final rule RIA; however, unlike that analysis, we do not reduce the number of assessments under the SUNSET final rule by the number of reviews performed, since these assessments occur first and serve to identify those regulations requiring review.

TABLE D1—BASELINE ASSESSMENTS AND REVIEWS UNDER THE SUNSET FINAL RULE

Year	Total assessments	Reviews			
		Pre-RFA	Post-RFA	Not specified	Total
2022	683.0	8.8	61.8	30.6	101.2
2023	683.0	8.8	61.8	30.6	101.2
2024	683.0	8.8	61.8	30.6	101.2
2025	683.0	8.8	61.8	30.6	101.2
2026	683.0	8.8	61.8	30.6	101.2
2027	31.8	0.0	3.4	1.4	4.8
2028	31.8	0.0	3.4	1.4	4.8
2029	31.8	0.0	3.4	1.4	4.8
2030	31.8	0.0	3.4	1.4	4.8
2031	31.8	0.0	3.4	1.4	4.8
Total	3574.0	44.0	326.0	160.0	530.0

Time per Assessment and per Review

The SUNSET final rule RIA contains estimates of the time per assessment and time per review performed under the SUNSET final rule. For each assessment, the SUNSET final rule RIA assumes that it will require between 3 and 10 hours to assess a rulemaking. For each review, the SUNSET RIA assumes that it will require between 250 and 500 hours to review rulemakings that predate the RFA, and between 40 and 100 hours to review rulemakings that postdate the RFA. For the 160 rulemakings newly found to have a significant impact, the SUNSET RIA assumes that it will take between 40 and 100 hours to complete a review.

The Department now concludes the SUNSET RIA likely underestimates the time necessary to credibly assess whether a regulation imposes a significant economic impact on a substantial number of small entities by

a significant degree. The Small Business Administration (SBA) Office of Advocacy published “A Guide for Government Agencies: How to Comply with The Regulatory Flexibility Act,” detailing a step-by-step approach for analysts.⁶⁸ For each of the 3,574 rulemakings requiring an assessment under the SUNSET final rule, the Department will need to define the problem and describe the regulated entities, estimate economic impacts by size categories, and determine which size categories incur significant impacts. The SBA guide presents a two-page checklist containing the elements of an adequate certification. In practice, when performing a threshold analysis, analysts will face novel conceptual issues and data challenges, both of which require thoughtful consideration

and professional judgement. The SUNSET final rule also requires HHS to open a docket and review public comments on each rulemaking being assessed. Furthermore, SBA indicates that it is not sufficient to rely on an assessment made at the time a regulation was published:

In some cases, even if an agency was originally able to certify properly under section 605 of the RFA that a rule would not have a significant economic impact on a substantial number of small entities, changed conditions may mean that the rule now does have a significant impact and therefore should be reviewed under section 610. For example, many more small businesses may be subject to the rule now than when the rule was promulgated. The cost of compliance with a current rule may have increased sharply because of a required new technology. (SBA, pp. 80–81)

We assume that, under the baseline scenario of the SUNSET final rule, the Department will follow the

⁶⁸ Available at <https://cdn.advocacy.sba.gov/wp-content/uploads/2019/06/21110349/How-to-Comply-with-the-RFA.pdf>.